The Fibonacci has a solid basis with in our everyday lives and it is considered to be the divine proportion. However, in trading it is a special tool used to locate hidden supply & demand zones where price will retrace to and/or reverse. This tool benefits all strategies that depend on price pullbacks and rallies. You will learn how to use retracement levels combined with candlestick patterns to provide important turning signals.

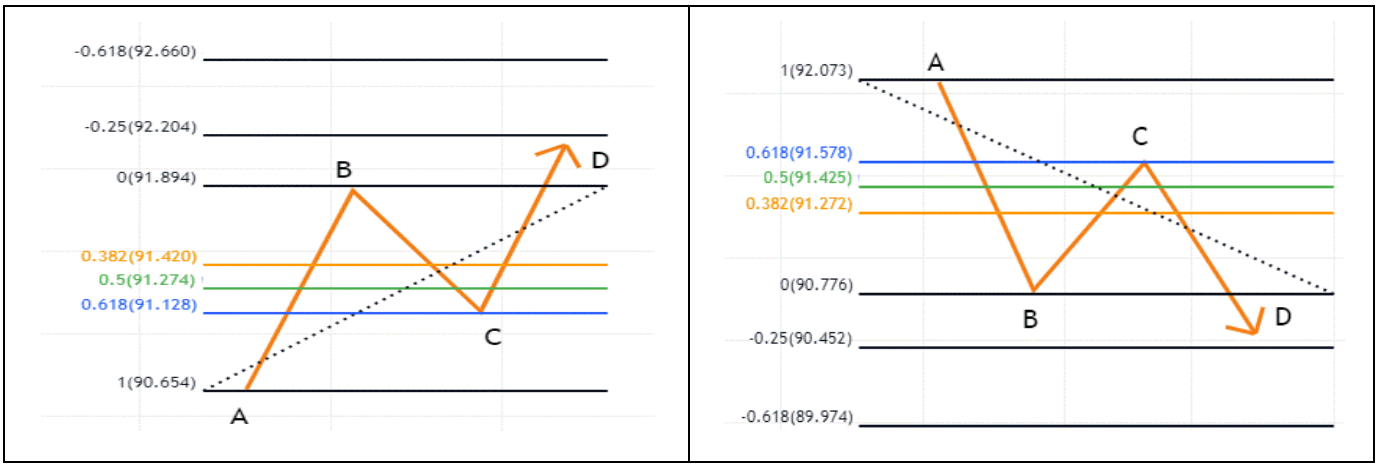
Fibonacci, also known as Leonardo Bonacci was a thirteenth-century mathematician who derived a special sequence of numbers that are the addition of the two previous numbers before it;

0, 1, 1, 2, 3, 5, 8 ,13, 21, 34, 55, 89, 144, 233,...,

In trading, the Fibonacci retracement is a very powerful tool when used in conjunction with candlesticks, indicators or chart patterns to calculate targets for entry & exit points for trades/positions. The Fib tool can be applied on any time frame, however it is important to note that signals generated on smaller time frames like 1Min & 5Min are less reliable compared to signals generated on the higher timeframes like 1Hr, 4Hr and Daily.

The main retracement levels to watch are **38.2%**, **50%** & **61.8%**. Markets will usually retrace or rally after a strong move before continuing on its underlying direction in a trending market. These retracements will not always reach these Fibonacci levels for, sometimes price can under-shoot or over-shoot. Price may even reverse mid way between the 50% & 61.8% Fib levels which is the **Golden Zone;** the best area to enter a trade. The best way to determine whether a move is a retracement or not is to determine whether the price is moving in the direction of the underlying trend. If price is moving against the underlying trend then pay very close attention for a reversal in price at the 38.2%, 50% & 61.8% Fibonacci levels. At times, price will consolidate at these levels before continuing in the underlying direction.

Candlestick patterns will provide the most reliable signals for reversal or continuation near Fibonacci levels and other key support & resistance levels. When confluence starts to emerge, these levels become more noteworthy. **It is best to wait for a confirmation signal to CLOSE at point C before entering a trade.**



Bullish ABCD pattern	Bearish ABCD pattern
In a buy setup, price should rise from a swing low at point **A** to a swing high at point **B**, and retrace to point **C** near or at a Fibonacci level. Bullish price action confirmation signals include bullish engulfing candlestick, tweezer bottom, pinbar (hammer), morning star, double bottom and bullish harami (inside bar).	In a sell setup, price should drop from a swing high at point **A** to a swing low at point **B**, and rally up to a point **C** near or at a Fibonacci level. Bearish price action confirmation signals include bearish engulfing candlestick, tweezer top, hanging man, shooting star, evening star, double top, or bearish harami (inside bar).